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Amazon Interview Preparation Overview

“Amazon.com receives thousands of resumes every week, from talented people all over the world.

Our challenge is to find the very best and recruit them into one of the many challenging positions we offer. Setting the bar high in our approach to hiring has been, and will continue to be, the single most important element of Amazon.com’s success. During our hiring meetings, we ask people to consider three questions before making a decision”

- Will you admire this person?
- Will this person raise the average level of effectiveness of the group they’re entering?
- Along what dimension might this person be a superstar?

Jeff Bezos, Amazon Founder and CEO

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Interview Process

Step #1: Screening call with HR or internal recruiter
Step #2: Interview with hiring manager
Step #3: Writing Test
Step #4: Final “Loop” Interview
Step #5: Hiring Meeting
Step #6: Offer Meeting
Step #7: Reference Check.

Engineering and Technical Interviews:

- You can use a service like Gainlo to work through mock interviews. http://www.gainlo.co/
- Amazon.com Software Development Engineer I Interview Questions: https://bit.ly/2Dsku0K
- Amazon.com Intern Interview Questions: https://bit.ly/2yWoe6J
- Amazon Interview questions for Engineers: https://bit.ly/2ySyjS0
- Amazon.com Software Development Engineer Intern Interview Questions: https://bit.ly/2ASgkwo

Useful Links:

- Amazon stock price: https://www.marketwatch.com/investing/stock/amzn

- Tour an Amazon warehouse:
  https://www.aboutamazon.com/working-at-amazon/our-global-offices

- Amazon Leadership Principles: https://www.amazon.jobs/en/principle

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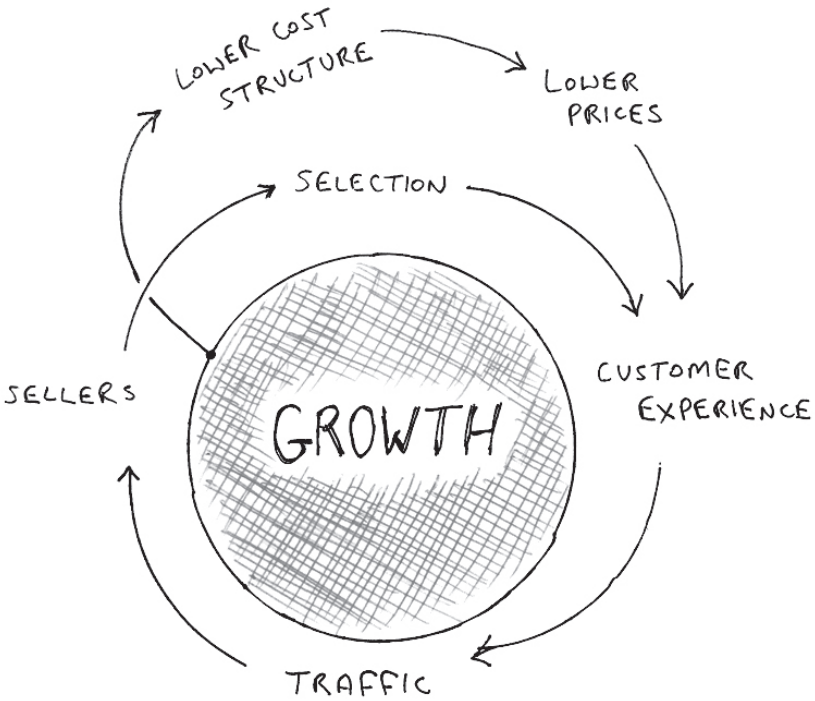
The Amazon Flywheel

In order to understand the interview process, it is important to first understand the basics of the Amazon business model that has propelled them to such amazing heights. Their “flywheel” business model represents how Amazon operates at all levels of the organization. Once you have a firm understanding of how the Company functions, it will guide how you answer interview questions.



- Selection - Consider the number of products and services available on Amazon.com - it is nearly infinite! This variety also applies to different categories, like the selection of Kindle content or number of movies made available on Prime Video.

- Sellers - As with the selection, there are many third-party sellers on the e-commerce platform. Amazon directly buys and sells products with these third-party vendors as a part of their business, but anyone (including you or me) is permitted to sell products on the site.

- Customer Experience - Amazon uses the metric of "lifetime customer value" or "LCV" to measure the customer experience. LCV = (Average Value of a Sale) * (Number of Repeat Transactions) * (Average Retention Time in Months or Years for a Typical Customer)

- Lower Cost Structure - By selling products online, Amazon does not incur costs of running physical "brick and mortar" shops. Thus, the Company runs a more scalable and cheaper business model than most retail companies.

- Lower Prices - Jeff Bezos, founder and CEO of Amazon, believes that customers will always want lower prices. It is one of the few "timeless truths."

- Traffic - This simply refers to the number of users driven to Amazon.com.

For example….

If you are asked, "How would you increase traffic to the Baby Goods category?", simply bring to mind the other parts of the flywheel. The answer is one of one of the following: increasing the number of sellers, increasing selection, lowering prices, improving the customer experience, and lowering the cost structure — or a mix of all of these. With that in mind, your answer could be "Let's lower the prices for our top 10 baby good items and run an advertising campaign for 1 week."

Useful links:

Sam Seely on The Flywheel: http://www.samseely.com/blog/2016/5/2/the-amazon-flywheel-part-1

Customer Experience - Amazon uses the metric of "lifetime customer value" or "LCV" to measure the customer experience. LCV = (Average Value of a Sale) * (Number of Repeat Transactions) * (Average Retention Time in Months or Years for a Typical Customer)

9 Case-Studies of CLV:
https://barnraisersllc.com/2017/01/case-studies-customer-lifetime-value-clv/

Financial Model: If you want to dive deeper into Amazon's financial model and growth strategy, take a look at Ben Evan's analysis at this link: Why Amazon Has No Profits and Why It Works

Also see: Is Alexa Working?
https://www.ben-evans.com/benedictevans/2019/1/29/is-alexa-working

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The Amazon Leadership Principles - The Most Important Part of the Interview

After speaking to dozens of hiring managers at all levels, including VPs and directors, the number one piece of advice for interviewing at Amazon was consistent across the board:
know the leadership principles like the back of your hand.

The leadership principles are a list of 14 values that define and shape the Company culture. Amazonians use them daily in all levels of decision making.

Take them seriously, even if they sound silly to you.

These principles are not just some inspirational wall-hanging that you see at some companies. Being familiar with these principles is the most important part of the interview process. You should be living and breathing the leadership principles before interviewing at Amazon.
(download template here)

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The Amazon Leadership Principles - The Most Important Part of the Interview

1. Customer Obsession

Leaders start with the customer and work backwards. They work vigorously to earn and keep customer trust. Although leaders pay attention to competitors, they obsess over customers.

Jeff Bezos frequently brings an empty chair to executive meetings as a reminder that there is always someone else in the room - the customer. Here is a list of a few more ways customer obsession manifests internally: https://www.salesforce.com/blog/2013/06/jeff-bezos-lessons.html

Review this slide deck by Kintan B: https://bit.ly/2F6YOss - who is a product management director at Amazon. He gives his definition of customer obsession and what it means for his team.

2. Ownership

Leaders are owners. They think long term and don't sacrifice long-term value for short-term results. They act on behalf of the entire company, beyond just their own team.

They never say "that's not my job."

Real questions:

When did you go outside of the boundaries of your defined role to fix a problem? Describe a time when you have taken ownership in your job.

How do you balance focusing on your day to day tasks without losing track of the long-term vision?

Examples of answer to ownership questions:
https://interviewgenie.com/blog-1/2018/1/10/ownership

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3. Invent and Simplify

Leaders expect and require innovation and invention from their teams and always find ways to simplify. They are externally aware, look for new ideas from everywhere, and are not limited by "not invented here." As we do new things, we accept that we may be misunderstood for long periods of time.

Real questions:

What is the most innovative or inventive thing you've achieved (process improvement, product idea)?

When was the last time you tried something new?

Read more about kaizen:

When Toyota Met E-commerce: Lean at Amazon https://www.mckinsey.com/business-functions/operations/our-insights/when-toyota-met-e-commerce-lean-at-amazon

4. Are Right, A Lot

Leaders are right a lot. They have strong judgment and good instincts. They seek diverse perspectives and work to disconfirm their beliefs.

Real questions:

What is your biggest achievement?
What tangible impact did your achievement have?

Answers and tips at Interview Genie: https://interviewgenie.com/blog-1/2018/12/11/how-to-answer-amazon-are-right-a-lot-leadership-principle-interview-questions

How do you balance focusing on your day to day tasks without losing track of the long-term vision?

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The Amazon Leadership Principles - The Most Important Part of the Interview

5. Hire and Develop the Best

Leaders raise the performance bar with every hire and promotion. They recognize exceptional talent, and willingly move them throughout the organization. Leaders develop leaders and take seriously their role in coaching others. We work on behalf of our people to invent mechanisms for development like Career Choice.

Real questions:

Who was your best hire and why?

What was your biggest hiring mistake? What did you learn from it? How do you earn trust from new employees?

What is your management philosophy?

John Rossman's Tips:

https://www.linkedin.com/pulse/20141117144807-75052-hire-develop-the-best-amazon-leadership-principle-5/

6. Insist on the Highest Standards

Leaders have relentlessly high standards -; many people may think these standards are unreasonably high. Leaders are continually raising the bar and drive their teams to deliver high quality products, services, and processes. Leaders ensure that defects do not get sent down the line and that problems are fixed so they stay fixed.

This principle relates to everything from your attention to detail to the small things (what a customer thinks about the color of a button), all the way to hiring the right people. Never compromise on this.

How have you raised the bar to increase quality of your work?

Glassdoor answers to this principle here.

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The Amazon Leadership Principles - The Most Important Part of the Interview

7. Think Big

Thinking small is a self-fulfilling prophecy. Leaders create and communicate a bold direction that inspires results. They think differently and look around corners for ways to serve customers.

Real questions:

Sometimes we can get buried in the details and lose sight of the big picture. How do you ensure this doesn't happen?

If you owned marketing for our kids tablets, what new things would you look into?

How Amazon thinks big:

https://www.bloomberg.com/opinion/articles/2018-09-19/amazon-amzn-thinks-big-and-that-doesn-t-come-cheap

Glassdoor answers

8. Bias for action

Speed matters in business. Many decisions and actions are reversible and do not need extensive study. We value calculated risk taking.

Real questions:

Describe a time where you made a judgment call with limited information. How do you overcome analysis paralysis?

What is your level of risk tolerance? Why? How does this manifest itself in your work?

Blog post: You learn by doing: https://medium.com/the-mission/this-principle-from-amazon-s-team-will-change-your-life-e8e02220007b

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The Amazon Leadership Principles - The Most Important Part of the Interview

9. Frugality

Accomplish more with less. Constraints breed resourcefulness, self-sufficiency, and invention. There are no extra points for growing headcount, budget size, or fixed expense.

Amazon does not have a “country club” culture. They operate like a big startup. Money goes towards improving the customer experience and not throwing money around on non- essentials. Rather, analyzing the best options and spending the money wisely.

Real question:

Describe a time when you improved a process with a limited budget.

John Rossman on Frugality:

https://www.linkedin.com/pulse/20141112141927-75052-practice-frugality-amazon-leadership-principle-9/

10. Learn and Be Curious

Leaders are never done learning and always seek to improve themselves. They are curious about new possibilities and act to explore them.

Real questions:

How do you find the time to stay inspired, acquire new knowledge, and innovate in your work? How do you connect the dots?

On Rec Blog post:

http://www.onrec.com/news/opinion/how-amazon-use-its-leadership-principles-to-attract-and-develop-the-best-talent

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The Amazon Leadership Principles - The Most Important Part of the Interview

11. Earn Trust

Leaders listen attentively, speak candidly, and treat others respectfully. They are vocally self-critical, even when doing so is awkward or embarrassing. Leaders do not believe their or their team's body odor smells of perfume. They benchmark themselves and their teams against the best.

Real question #1: Share an example of a failure in your career.

Real question #2: How do you earn trust from a team that you inherited?

Glassdoor Answers

12. Dive Deep

Leaders operate at all levels, stay connected to the details, audit frequently, and are skeptical when metrics and anecdotes differ.

No task is beneath them.

Real questions:

- Describe a problem you solved recently. Why did it happen, what was the root cause of the problem?
- Why did you change your last job?
- Walk me through your biggest failure. What could you have done differently?
- If you have a team, can you describe what their daily activities are? How do you measure them?

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The Amazon Leadership Principles - The Most Important Part of the Interview

13. Have Backbone; Disagree and Commit

Leaders are obligated to respectfully challenge decisions when they disagree, even when doing so is uncomfortable or exhausting. Leaders have conviction and are tenacious. They do not compromise for the sake of social cohesion. Once a decision is determined, they commit wholly.

Real question:

Give an example when you had to push back to HQ or challenged a decision in your organization.

Right Attitudes: http://www.rightattitudes.com/2017/05/05/disagree-and-commit/

14. Deliver results

Leaders focus on the key inputs for their business and deliver them with the right quality and in a timely fashion. Despite setbacks, they rise to the occasion and never settle. At the end of the day, it is all about performance and results. Whether that is a financial impact, improving something within the business, or launching a product, you have to show how you made an impact.

Real questions:

- What is your biggest accomplishment?
- What impact did you make in your previous company?
- How do you balance humility with strong leadership?

Leadership Role Video Interview: https://www.youtube.com/watch?v=Tg6BVRTsuic

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The STAR Method - How to Answer Interview Questions

Amazon largely uses behavioral interview questions to assess your background. This means that they believe your past performance will predict future performance. Behavioral interview questions are questions about specific situations in your past work experience and how you handled them or behaved. The STAR method is a way to answer behavioral interview questions effectively, and will help you structure your answers in a high-stakes environment (an interview!)

STAR stands for:

• Situation

• Task

• Action

• Result

1. What was the problem? Like any good story, you will need to start by painting a picture of what happened, where you were, and the people involved. This is the situation.

2. What was your responsibility? You have to identify what this is and describe it clearly. This is the task.

3. Once you have decided the goal or outcome you would like to achieve, you need to take steps to get there. What steps did you take and why did you take them? That is the action.

4. After moving forward with your plan, what happened? Were you successful, and what did you learn? This is the result.

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EXAMPLES:

Question: Have you ever led a team before?

Answer:

(Situation) “Yes; a relevant example being at my last company, where I was initially a software developer, in a team of 6 developing a new finance module for our core accounting product.”

(Task) “The project was critical as launch dates had been set with a lot of sales and marketing investment riding on the product being ready. However the project was behind schedule, when our team leader unfortunately became ill, and had to leave.”

(Action) “I had been a sports team captain at school, where I loved the challenge and responsibility of leadership. So I volunteered to stand in, and by using my technical analysis skills, spotted a few small mistakes made in the initial coding, that were causing the sporadic errors, and slowing us down. I then negotiated with our product director a small bonus incentive for the team, and budget for two pizza evenings, so we could pull a couple of late night shifts to correct the coding and catch up with the critical project landmarks.”

(Result) “Though this took us 1.5% over budget the software was delivered on time with a better than target fault tolerance. The project was seen as a great success as the additional project cost was minimal compared to the costs of delaying the launch, and the negative affect on our product

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Common Pitfalls

Failure stories. Amazon will almost certainly ask you to describe a time when you failed in your career or life. Many people make the mistake of trying to spin the example as something that turned out very positive in the end. This is likely because it can hurt to talk about our failures and we want to make a good impression. However, Amazon actually wants to hear your failure stories. They are expecting something substantial and impactful. It should be something that was etched in your memory and hurt.

Dive Deep. The reason Amazon interviewers dig so deep into the details of your past is to make sure that you actually did what you said you did. The logic is that the best way to discover your true role and responsibility in a job is to grill you on the details. If you said that you were a "sales leader," they want to know the story of how you closed the biggest sales deal. Was your boss in the meeting with you? Did someone else do the contract negotiation? Or were you involved in every step of the negotiation on your own? The depth and scope of your responsibility will come to light through this storytelling.

Not Answering a Question. One of the biggest mistakes I see people make is when they cop out of answering questions. When you say "I don't know" or "next question please," then you will likely be disqualified immediately. I realize this sounds unfair at first and you might be thinking, "How am I expected to know all of the answers?"

Long Winded Answers. You will always have more to say than you actually need to. Let that one sink in for a second. It's important that your answers are never more than a couple of minutes long. If they are, you will be seen as verbose, and it will be marked heavily against you. The challenge is that the interviewer is not going to give you any indication if they want you to stop talking. They will patiently sit there and listen to you while you dig your own grave.

More pitfalls: https://www.paysa.com/blog/5-pitfalls-to-avoid-when-trying-to-get-a-job-at-amazon

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Questions You Should Ask The Interviewer

The Position

• What are the three most important leadership principles for this job?
• How do you define success for this position? What metrics are you using to measure my accomplishments?
• What specific tools will I be using on the job?
• What is a typical day like?
• What are the opportunities for advancement and growth in this position?
• Do you have any hesitations about my skills or experience for this job?
• Is this a new or replacement position? If it's a replacement, why did the previous person leave?

The Business

• How does this service/product fit into the greater picture?
• How do you measure customer service?
• What important initiatives are you working on for the next 6-12 months?
• How does this role contribute to larger company goals?

The Team

• How would you describe the team culture?
• Can you tell me about members of the team?
• What are the team's strengths and weaknesses?
• What have been the biggest challenges this year for the team?

The Interviewer

• Why did you decide to join Amazon?
• What is your management style and philosophy?
• What is your expectation of me for the first 90 days of the job?
• How do you deliver negative feedback?
• What are your favorite and least favorite things about working here?

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Amazon Salary

Amazon's salary structure is fairly straightforward and has remained pretty consistent over the years. Amazon uses a mix of guaranteed cash and stock to incentivize employees. There are three components.

1. Base Salary
2. Guaranteed Bonus
3. Restricted Stock Units ("RSUs" that vest over a four year period)

Let's break down a hypothetical offer Amazon would give:

- Base Pay Offered: $120,000
- Sign-on Payment Year 1: $40,000
- Sign-on Payment Year 2: $40,000
- Shares of RSUs offered: 100

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Amazon Salary

A restricted stock unit is compensation offered by an employer to an employee in the form of company stock. The employee does not receive the stock immediately, but instead receives it according to a vesting plan and distribution schedule after achieving required performance milestones or upon remaining with the employer for a particular length of time.

From the third year of employment your “guaranteed bonus” drops. Instead, you will be rewarded with shares of the company.

The RSUs vest over four years and you receive 100% of these by the end of year four. Here is the vesting period:

- first year: 5% of RSUs
- second year 15% of RSUs
- third year: 40% of RSUs
- fourth year: the remaining 40% of RSUs

Here is an estimate what you would make the first four years (with Amazon stock price at $1,000/share, 100 RSUs being equal to $100,000 over four years):

Year 1: $120k base + $40k Sign on Bonus + 5% RSUs (5K) = $165k
Year 2: $120k base + $40k Sign on Bonus + 15% RSUs (15K) = $175k
Year 3: $120k base + 40% RSUs (40K) = $160K
Year 4: $120k base + 40% RSUs (40K) = $160K

As you will notice, your compensation comprising your base and bonus might go down after the third year which can seem surprising. However, do not be alarmed, as historically wages don’t go down. Why? Because Amazon’s stock has done phenomenally well. Just a couple of years ago it

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Checklist

You can use this checklist to prepare for your meeting with Amazon.

1. The Amazon “Flywheel” business model is key to understanding how they operate. Always keep in mind the different levers when answering interview questions.

2. The 14 leadership principles are at the core of Amazon’s culture. Interviewers will test every single one. Make sure to prepare four to five detailed examples based on these principles.

3. Use the STAR Method to structure and answer questions in a logical way.

4. Avoid common pitfalls. Always answer the question, know your examples in detail, and don’t be afraid to share your failure stories.